

Build · Buy · Partner

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Sourcing the intelligence layer

PROFESSIONAL DEFINITION

The Build–Buy–Partner framework structures the sourcing decision for a capability: develop it internally, purchase a finished solution, or collaborate with a partner, according to strategic value and internal capability.

WHO DEVELOPED IT

A long-standing corporate-strategy heuristic formalised in make-or-buy and transaction-cost economics, extended to alliances by scholars such as Williamson and later strategy texts.

WHY IT WAS DEVELOPED

It was developed to discipline sourcing decisions that are often made by default, ensuring scarce build capacity is reserved for what is genuinely strategic.

FIGURE 1 · BUILD · BUY · PARTNER



Figure 1. A schematic of the Build · Buy · Partner as applied in BARBM312 (illustrative).

HOW IT IS USED

A capability is scored on strategic value and on internal capability; the resulting position recommends build, buy or partner, with AI components assessed the same way.

WHEN IT IS USED

When sourcing AI models, data or tooling, and when deciding what to own versus rent in the AI stack.

BY WHOM IT IS USED

CTOs, procurement, and corporate-development teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Applied to AI, it clarifies that calling a commodity model is 'buy' while a proprietary data advantage is worth 'build' — preventing undifferentiated in-house effort.

RELATED FRAMEWORKS IN THIS COURSE

Embedded vs. AI-Native 2×2 · Slibrary 3

Legacy Modernisation Curve · Slibrary 3

Value Proposition Canvas · Slibrary 3

Data Network Effects · Slibrary 3

SOURCES (HARVARD REFERENCING STYLE)

Williamson, O.E. (1985) The Economic Institutions of Capitalism. New York: Free Press.

Capron, L. and Mitchell, W. (2012) Build, Borrow, or Buy. Boston: HBR Press.